

Blox Functional Specification Document

Owned & Prepared By: M2P FinFlux

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Client Sign-Off:

S No	Date	Department	Sign Off by
1		Operations	
2		Product	
3		Finance / Accounting	

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1. Overview & Scope

The purpose of this document is to capture all LMS-specific functional requirements for **Blox**, a QCB-licensed vehicle financing platform in Qatar, operating a **Diminishing Musharakah** Sharia-compliant financing construct. This document is prepared by the M2P FinFlux BA team based on requirements gathered across multiple discussion sessions and is submitted to Blox for review and sign-off.

Under Diminishing Musharakah, the financier (Blox) and customer co-own the financed vehicle. The customer progressively buys out Blox's ownership share (Musharakah) while paying a monthly Profit on Blox's outstanding co-ownership portion. Every payment against principal reduces Blox's ownership and increases the customer's share. This dual-stream model — equity buyout + Declining Profit — is structurally distinct from a conventional Profit-bearing loan and requires dedicated LMS configuration and Sharia-aligned accounting.

LMS will manage the complete post-disbursement lifecycle of Diminishing Musharakah + Profit financing contracts, from LOS activation handoff through to natural closure or early settlement.

In-Scope LMS Events:

1. Financing Product Configuration
2. Contract Activation (LOS → LMS handoff)
3. Co-Ownership Maintenance
4. Repayment Schedule Generation (Dual-Component: Equity + Profit)
5. Repayment Processing (Normal, Part Payment)
6. Overpayment / Excess Bucket Management
7. Early Settlement / Foreclosure
8. Payment Holiday (Deferral / Rescheduling)
9. Write-Off & Recovery
10. Delinquency Management (DPD / SMA / NPA — Asset Classification)
11. Late Payment Penalty (Ta'widh)
12. Accrual & Revenue Recognition
13. Charges & Fees
14. Lender Management (informational only)
15. Payment Channels (SkipCash, Cheque, Cash)
16. Notifications
17. Maker-Checker & RBAC

Out of Scope (LMS):

- Customer-facing mobile/web UI (owned by Blox platform)
- Blox Membership Fee orchestration (owned by Blox platform; LMS does not track membership state)

- 3rd party commission computation and payout
- Direct API integration with lender systems (NBFC settlement is manual)

Product Variants Covered:

Variant	Profit Rate	Max Financing (QAR)	Max Tenure
New Car	5% to 15%	70,000	60 months (Qatari) / 48 months (Expat)
Used Car	5% to 20%	50,000	48 months
Motor cycle	5% to 20%	50,000	48 months

All transactions in QAR. Minimum tenure: 3 months across all variants.

2. Financing Product Configuration

2.1 Activity Description

Before any financing contract can be activated, Diminishing Musharakah Financing Product must be configured in the M2P FinFlux LMS for both used and new cars along with motorcycles. The product configuration defines the rules, defaults, and constraints that apply to all contracts created under it — equivalent to a product template. This is a one-time setup activity performed by M2P during implementation.

Key product-level parameters include the Profit rate bands (per risk tier), tenor limits per customer nationality and vehicle segment, Profit calculation model (Declining), repayment allocation, grace period, day-count convention (30/360), DPD thresholds, and GL account mapping for Sharia-compliant accounting.

2.2 Actors

M2P Implementation Team (System Admin)

2.3 Pre-Conditions

- M2P FinFlux LMS environment is provisioned for Blox tenant
- Sharia-compliant GL chart of accounts is confirmed and configured
- QCB regulatory classification thresholds confirmed

2.4 Post-Conditions

- Active Diminishing Musharakah for New and Used car product and motorcycles exists in the system with all parameters set as defined in above grid – “**Product Variants Covered**”

- Profit rate bands per risk tier are enforced at contract activation
- Day-count convention (30/360) applied globally to all Profit arithmetic
- GL accounts mapped: Accountings are mapped as defined in its respective sections.

2.5 Flow of Events

1. M2P configures loan products in LMS for new and used cars along with motorcycles with all parameters from the agreed with following parameters:
 1. Calendar: Gregorian
 2. Loan is applicable only for Individual customers
 3. Each payment is split in Profit + Principal Recovery over the period of Tenure
 4. Downpayment % ranges from 15% to 20%, however, the final flat amount is pushed from LOS to LMS at the time of loan activation
 5. Contract will be between Blox and Primary customer, however, there will be co-applicant and guarantor stored in LMS for information purpose only.
 6. Co-ownership between Blox and Primary customer is defined considering downpayment paid and vehicle charges borne by Primary customer
 7. Customer is expected to pay every month i.e. due date is defined each month of 2nd, however, he/she will have rights to pay any additional payments such as part payments, closure of loan anytime through the tenure of loan
 8. Following charges will be configured in LMS which can be applied on loan account on demand by Blox
 1. Flat 100 Riyals for Liability Letter
 2. Flat Fee – 100 Riyals for Physical letter issued to end customer
 9. Customer can make repayments using any following mode of payment:
 1. Cash
 2. Cheque
 3. Skip cash (Integration with Blox platform)
 4. Debit card
 5. Credit card
 6. Blox Credit
2. Profit model – Declining is set at product level
3. Repayment allocation waterfall is configured (default: Profit → Equity Buyout → Charges; which is defined at product level)
4. Grace period default 0 days, and excess bucket behaviour are configured
5. Notifications will be triggered to end customer using middleware of Blox as defined in its respective section
6. Each loan will be tagged with Takaful(Insurance) which will be pushed to LMS from LOS and will be available for informational purpose only
7. LMS will store vehicle details as defined in LOS for reference purposes only.
8. Maker- Checker will be configured in system as defined in its respective [section](#)
9. Lender details will be pushed from LOS to LMS as a placeholder and user reference only

2.6 Integrations

N/A (internal configuration activity)

3. Contract Activation (LOS → LMS)

3.1 Activity Description

Once a financing application is approved and the contract is executed in the Loan Origination System (LOS), the LOS sends an activation API payload to the M2P LMS. This triggers the creation of the financing contract, repayment schedule, co-ownership register, and Takaful register in a single atomic transaction. The activation handoff is the boundary between LOS (pre-disbursement) and LMS (post-disbursement lifecycle management).

Loan Activation Date — not the vehicle delivery date — is used as medium to push information from LOS to LMS for the loan start date for all scheduling purposes.

Key product constraints enforced at activation include financing amount limits per variant, tenure limits by nationality, minimum down payment percentages, salary-multiplier cap, and risk-tier rate band validation will be handled in LOS.

3.2 Actors

- LOS System (API — automated trigger)
- Operations Officer (Maker)
- Credit Manager (Checker)

3.3 Pre-Conditions

- Diminishing Musharakah for used and new cars and motor vehicles assets are configured and active in LMS
- LOS application is approved and contract is executed for disbursement
- Currency = QAR
- Product variant constraints are met (tenure, amount, vehicle age, down payment)

3.4 Post-Conditions

- Contract record created with through LOS by calling LMS APIs.
- Full installment schedule generated atomically (all periods, with equity and Profit sub-components per installment)
- Co-ownership register seed entry created:
 - Blox Share = financing amount (100%) assuming customer making 0% downpayment;
 - Hence, at disbursement customer's Share = 0%
- Takaful register entry created with coverage start = activation date, Name of Takaful, Policy number, Date of Issurance, Effective and Expiry date, Coverage amount, Premium Amount, place holder for Riders (If any).
- Takaful is deemed to be closed with closure of contract, incase the existing takaful is expired, LMS will have provision for blox user to manually close the existing record and add another record.

- Duplicate activation with same customer with same KYC details will be rejected with error. In case Blox needs to sanction another loan to the same customer, they would not need to recreate the client but, add loan activation.
- Activation response includes: contract id, status, schedule summary, Payment type at inception
- If disbursement date falls on or before the 15th of the month: first installment due date = 2nd of next month (BPR applies for days between issue date and 2nd). If after 15th: first installment = 2nd of current month + 1 month (i.e., 2 months out)

3.5 Flow of Events

1. LMS validates all mandatory fields posted by LOS, product constraints, rate bands
2. If validation fails: LMS returns error response with field-level detail; no records created
3. If validation passes: LMS creates contract in system and generates schedule
4. Contract status → ACTIVE; schedule, ownership register; GL activation entry posted for disbursement
5. LMS returns activation confirmation to LOS with contract id and schedule summary
6. Activation notification sent to customer (bilingual: Arabic + English) via WhatsApp/SMS

3.6 Integrations

- LOS → LMS

4. Co-Ownership Register

4.1 Activity Description

The Co-Ownership Register is the real-time ledger that tracks the ownership split of the financed vehicle between Blox and the customer at every point in the financing lifecycle. It is the defining characteristic of the loan construct and must be maintained accurately after every equity-affecting transaction.

At activation, Blox holds 100% assuming downpayment amount to be QAR 0, and the customer holds 0% (or a proportional share if a down payment was made). After each equity buyout payment, the register is updated: Blox's share decreases and the customer's share increases by the equity component of the principal received. When Blox's share reaches QAR 0 (within a rounding tolerance, the contract is naturally closed and title transfer manually to Primary customer.

4.2 Actors

- System (automated on payment confirmation)

4.3 Pre-Conditions

- Contract is in ACTIVE or DELINQUENT status
- Equity component of payment recovered for principal is confirmed received

4.4 Post-Conditions

- Blox share (QAR and %) updated: reduced by equity component of payment
- Customer share (QAR and %) updated: increased by equity component of payment
- Register entry timestamped with payment reference and installment number
- Cumulative ownership history retained (each entry preserved for audit; no overwrite)

4.5 Flow of Events

1. Payment confirmed by gateway / operations
2. System applies repayment allocation waterfall (Profit → Equity → Charges)
3. In case the loan account goes NPA – Repayment apportionment will be (Principal → Profit → Charges)
4. In case of loan settlement, when there is 1 time full-final payment repayment apportionment will be (Principal → Profit → Charges), non-recovered balance amount will be parked as Written-off.
5. Equity component identified from allocation
6. Co-Ownership Register updated when there is repayment against Principal: Blox share reduced, Customer share increased
7. New percentages calculated: $\text{Blox\%} = \text{POS Outstanding} / \text{vehicle value} \times 100$;
 $\text{Customer\%} = 100 - \text{Blox\%}$

Below are various Scenarios demonstrating change in RPS and ownership. Please refer the attached embedded excel.

Sr. No	Scenarios
1	<u>Disbursement and due date is on same day i.e. Exactly 30 days part</u>
2	<u>Disbursement is on or before 15 th of month</u>
3	<u>Disbursement is after 15th of month</u>
4	<u>Loan is deffered for 3 months</u>
5	<u>PartPayment is made during BPR Period</u>
6	<u>PartPayment is made after BPR Period is completed</u>
7	<u>Foreclosure of loan</u>
8	<u>One time settlement and Write off Loan</u>



4.6 Integrations

- N/A

5. Repayment Schedule Generation

5.1 Activity Description

The repayment schedule is generated atomically at contract activation and covers the full tenor of the financing. Each instalment row contains two sub-components: (1) Equity Buyout —Principal recovery, and (2) Profit — the Profit charged on Blox's outstanding ownership share for that period.

Day-count convention: 30/360 applies to all Profit arithmetic. Every month = 30 days; every year = 360 days.

Installment rounding: Computed installment rounded half-up to the nearest whole QAR. Rounding drift is absorbed in the final installment so that total collected = total contract obligation exactly.

Broken Period Profit (BPR): Applies when the first due date is not exactly 30 days from Disbursement date in LMS. $BPR = (\text{days from disbursement date to first due date} \div 30) \times \text{monthly Profit amount}$, using the 30/360 convention.

Refer various scenarios in excel [attached](#)

5.2 Actors

- System (automated at contract activation)

5.3 Pre-Conditions

- Contract activation completed (ACTIVE status)
- Unit handling to be handled outside LMS.

5.4 Post-Conditions

- Installment schedule table populated with one row per period
- Each row contains: installment number, due date, equity component, Profit component, total installment, status
- Schedule preview available via API

5.5 Flow of Events

1. On contract activation, system reads: financing amount, annual profit rate, tenure months, Profit model, Disbursement date, first due date
2. Total installment per row = equity + Profit (rounded half-up to whole QAR)
3. All installment rows persisted atomically with the contract;

4. System validates: $\text{sum}(\text{equity components}) \approx \text{financing amount}$; $\text{sum}(\text{Profit components}) = \text{expected total Profit}$; cumulative totals match contract obligation
5. Schedule summary returned in activation response

5.6 Integrations

- LOS: schedule preview available via API before contract execution confirmation
- Blox app: full schedule accessible by customer post-activation through LMS APIs

6. Repayment Processing

6.1 Activity Description

Repayment processing handles incoming payments against a financing contract. M2P FinFlux LMS provides two distinct repayment APIs which Blox invokes based on the customer's intent:

- **API A — Normal Repayment:** Used for the standard monthly installment (or any payment where the customer is not requesting an immediate principal reduction). Any amount received is first allocated against outstanding dues per the repayment waterfall. Any residual above the current installment is parked in an excess bucket for future auto-adjustment.
 - **Apportionment Strategy:** In case the customer has defaulted for 2 instalments and Blox was able to recover later with 3rd installment, money will be apportioned for overdue installment 1 > Overdue installment 2 > Clearance of existing installment.
 - Clearance will follow RPC logic where Profit will be settled first followed by Principal and then Charges (if any).
- **API B — Part Payment:** Used when the customer explicitly wants to reduce their principal (Blox equity share) immediately. This triggers an instant schedule regeneration so the customer sees an updated installment going forward.

Blox determines which API to invoke based on the customer's stated intent in the Blox app. The LMS processes both idempotently via a Blox-Idempotency-Key header.

Repayment Allocation Waterfall (configurable at product level, default):

- Profit
- Equity Buyout
- Charges

6.2 Actors

- Blox Platform / Payment Gateway (automated via API call)
- Operations Officer (manual posting for offline payment channels: cheque, cash)

6.3 Pre-Conditions

- Contract is in ACTIVE or DELINQUENT status
- Payment amount > 0
- For Part Payment API: amount is a positive and greater than due amount

6.4 Post-Conditions

- Payment allocated per waterfall: Profit → equity → charges
- Co-ownership register updated for equity component received
- DPD counter: reset to 0 if oldest overdue installment is fully cleared; no reset on partial clearance unless full clearing condition met
- Excess (if any) parked in Excess Account; auto-adjusted on next due date
- Payment notification sent to customer (bilingual) via WhatsApp/SMS
- For Normal Repayment: no schedule regeneration
- For Part Payment: schedule regenerated immediately; updated installment visible to customer

6.5 Flow of Events (Normal Repayment)

1. Blox calls LMS API with payment amount and gateway reference
2. LMS identifies oldest unpaid installment and outstanding charges
3. Allocation waterfall applied: Profit → equity → charges
4. GL entries posted automatically
5. Co-Ownership Register updated for equity component
6. Installment status updated; contract DPD recalculated
7. Success response returned to Blox with allocation breakdown
8. Customer notification triggered

6.6 Flow of Events (Part Payment — Principal Reduction)

1. Blox calls LMS Part Payment API with amount
2. LMS settles accrued Profit from last due date to payment date first (30/360 day-count)
3. Residual applied to reduce Blox equity share immediately
4. Co-Ownership Register updated
5. Schedule regenerated: remaining equity distributed across remaining tenure; new installment amounts calculated
6. Success response returned; updated schedule summary included
7. Customer notification: updated installment amount via Blox app

6.7 Third-Party Integrations

- LMS will expose its APIs in order to process transaction through Skip Cash / Payment Gateway: Blox will call for LMS APIs in order to process repayment transaction.

7. Overpayment & Excess Bucket

7.1 Activity Description

When a customer pays more than the current outstanding installment amount via the Normal Repayment API, the excess amount is held in a per-contract Excess Account. This excess is not immediately applied to future installments or principal — it waits until the next installment due date, at which point it is automatically drawn down against the standing installment.

If the customer requests a refund of the excess balance (via an operations action in LMS), the refund can be initiated subject to maker-checker approval, provided the amount does not exceed the available excess balance.

Use Case: Small overpayments (e.g., QAR 5 over a QAR 995 installment) are treated identically — parked in excess, not as a part-payment.

7.2 Actors

- System (automated excess parking and auto-adjustment)
- Operations Officer (Maker) for refund initiation
- Finance Manager (Checker) for refund approval

7.3 Pre-Conditions

- Contract is in ACTIVE status
- Payment received exceeds outstanding dues

7.4 Post-Conditions

- Excess amount (payment – total outstanding dues) credited to Excess bucket
- On next due date: excess drawn down automatically against standing installment; Excess balance reduced
- Customer notified of excess credit balance
- Accountings are posted:

Parking in Excess:

GL Code	Classification	Accountings	Dr	Cr
101	Asset	Fund source A/c	DEBIT	
301	Liability	Excess payment liability		CREDIT

Repayment From excess:

GL Code	Classification	Accountings	Dr	Cr
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301	Liability	Excess payment liability	DEBIT	
102	Asset	Loan portfolio A/c		CREDIT
103	Asset	Profit receivable A/c		CREDIT

Refund from Excess:

301	Liability	Excess payment liability	DEBIT	
101	Asset	Fund source A/c		CREDIT

7.5 Flow of Events

1. Normal Repayment API called with amount > total outstanding dues
2. Allocation waterfall applied; all outstanding dues cleared
3. On next due date (EOD batch): system checks Excess balance; draws down against due installment amount; Excess balance reduced accordingly
4. If customer requests refund: Maker initiates refund in LMS (specifying source and destination account); Checker approves; Excess balance reduced

7.6 Integrations

- LMS API is called by Blox to repay and refund money through Payment channel

8. Part Payment

8.1 Activity Description

Part Payment allows a customer to make an additional payment beyond the regular installment to reduce the outstanding Blox equity share (principal) immediately.

On a part payment, the system first settles any accrued Profit from the last due date to the payment date (using the 30/360 day-count convention), then reduces the Blox equity share by the remaining amount. The schedule is regenerated from the next installment, reflecting the lower equity base.

The customer has two options for schedule regeneration (selected at the time of part payment):

- **Option A — Reduce Tenure:** Installment amount stays the same; number of remaining periods decreases
- **Option B — Reduce Installment:** Number of periods stays the same; installment amount decreases

In case the user doesn't select anything, it will default to "Reduce Tenure" keeping Installment constant as configured in product construct.

8.2 Actors

- Customer (via Blox app — initiates part payment workflow)
- Blox Platform (routes to Part Payment API based on customer intent)
- System (automated allocation and schedule regeneration)

8.3 Pre-Conditions

- Contract is in ACTIVE status
- User has selected Reduce Tenure or Reduce Installment option

8.4 Post-Conditions

- Accrued Profit (last payment date → part payment date, 30/360) settled first
- Blox equity share reduced by principal repayment
- Schedule regenerated: remaining installments recalculated per chosen option (A or B)
- Co-Ownership % is updated
- Contract version incremented on each part payment that triggers regeneration

8.5 Flow of Events

1. User initiates part payment in Blox app; selects Option A (Reduce Tenure) or Option B (Reduce Installment)
2. Blox calls LMS API with amount and option
3. LMS calculates accrued Profit from last due date to payment date using 30/360
4. Co-Ownership Register updated
5. Schedule regenerated per chosen option; remaining installments recalculated
6. Contract version incremented; regeneration logged in audit
7. Success response with updated schedule summary returned to Blox
8. Customer notified via app of new installment/tenure by Blox

Accountings:

Receipt of Part Payment

101	Asset	Fund source A/c	DEBIT	
102	Asset	Loan portfolio A/c		CREDIT
103	Asset	Profit receivable A/c		CREDIT

8.6 Integrations

- Blox Platform will call LMS for part payment through SkipCash
- Blox will call Notifications template from LMS

9. Early Settlement / Foreclosure

9.1 Activity Description

A customer may choose to settle the entire outstanding financing balance before the scheduled tenor end. This is called Early Settlement (or Foreclosure). Under DIMINISHING MUSHARAKAH and Sharia principles, the settlement amount comprises only:

1. **Outstanding Blox equity share** – Principal component
2. **Pro-rata accrued Profit** from the last recovery Profit date to the settlement date only (30/360 day-count)
3. **Outstanding charges** (if any)

No future Profit is charged — this is a Sharia-mandatory rule

There is **no prepayment penalty or early exit charge**.

A settlement quote is generated on request. On payment confirmation, the contract is closed and title is transferred.

In case any excess money is paid by the customer, loan status will be “Overpaid” until user makes full refund the excess received.

On clearing the excess, Loan status will be updated to “Closed”.

9.2 Actors

- Customer (request via Blox app)
- LMS APIs

9.3 Pre-Conditions

- Contract is in ACTIVE, DELINQUENT, or SMA status
- Settlement request received from Blox platform with requested settlement date
- No unresolved system errors or locked records on the contract

9.4 Post-Conditions

- Settlement quote generated: outstanding Blox equity + pro-rata accrued Profit + outstanding penalties
- On full payment confirmation:
- All remaining installments marked Paid
- Contract status → CLOSED

9.5 Flow of Events

1. Customer requests early settlement via Blox app; specifies requested settlement date
2. LMS calculates: outstanding Blox equity + pro-rata Profit to settlement date (30/360) + outstanding penalties
3. Settlement quote returned with itemised breakdown: principal, pro-rata Profit, penalties, total
4. Customer confirms intent to settle; Blox initiates payment via SkipCash or other channel
5. Payment gateway confirms receipt
6. Blox calls Settlement API with payment reference and amount
7. LMS validates payment amount matches quote (within QAR 1 tolerance)
8. GL entries posted; ownership register updated
9. Contract status → CLOSED; Takaful register is deemed to be closed since contract is early closed.
10. Title-transfer notification sent by blox to end customer

Accountings:

101	Asset	Fund source A/c	DEBIT	
103	Asset	Profit receivable A/c		CREDIT
102	Asset	Loan portfolio A/c		CREDIT

9.6 Integrations

- Blox Platform will call LMS for foreclosure through SkipCash

10. Payment Holiday (Deferral / Rescheduling)

10.1 Activity Description

A customer who meets eligibility criteria (evaluated by Blox platform — premium membership check) may request a Payment Holiday. The deferral request must be submitted via the **Blox app only**, and the request must arrive at least **15 calendar days before loan disbursement**. Requests within 15 days of the due date are rejected by blox; the deferral tab is greyed out in the Blox app within this window.

During the payment holiday, **Profit continues to accrue** on the outstanding Blox share at the contract's annual rate (30/360). The accrued Profit is not waived — it is recovered from the next due date onward.

Eligibility (premium-member check) is evaluated by Blox before the LMS Reschedule API is invoked. LMS does not re-evaluate eligibility; it accepts a properly authorised reschedule call from LOS.

Sample Repayment schedule is attached in [section](#)

This can be invoked any time post disbursement of loan.

10.2 Actors

- Customer (opted for membership request via Blox app)
- Blox invoke LMS API- Reschedule at the time of disbursement.

10.3 Pre-Conditions

- Contract is in ACTIVE status
- Blox has validated customer eligibility (premium membership) before calling LOS

10.4 Post-Conditions

- New schedule generated post API trigger basis on the option selected where installments will be deferred, however Profit will continue to accrue which will be due in next Installment (post-holiday)
- Profit accrued during payment holiday is collected in next Installment(post holiday) in revised schedule, however the installment will stay constant.
- Reschedule memo entry logged in audit (no monetary GL entry at reschedule date)
- contract version incremented; before/after schedule comparison stored in audit log

10.5 Flow of Events

1. Customer requests deferral via Blox app
2. Blox platform validates eligibility (premium member check + product rules) and information is pushed
3. LMS calls Reschedule API with deferral parameters and deferral request received
4. On approval: new schedule created incorporating holiday accrual
5. During holiday period: EOD batch continues to accrue Profit on outstanding Blox share
6. Post-holiday: accrued amount is collected in next installment keeping EMI constant.
7. contract version incremented; audit log updated

10.6 Integrations

- Blox Platform: eligibility result for LOS
- LOS to call LMS reschedule API call (inbound)

11. Write-Off & Recovery

11.1 Activity Description

When a contract reaches NPA status (DPD $\geq$ 360) or recovery is deemed unlikely, it is eligible for Write-Off at user request. Write-Off requires a two-level approval (Senior Credit Officer maker; Credit Director checker) and results in the co-ownership asset being extinguished from the balance sheet, offset against the Allowance for Credit Loss (previously provisioned).

Post write-off, if the customer or their estate makes any recovery payments, these are posted as Bad Debt Recovery (non-operating income). Written-off contracts remain visible in the system for audit and reporting purposes with a WRITTEN OFF flag.

11.2 Actors

- Collections Officer (Maker — write-off submission)
- Credit Director (Checker — write-off approval)
- Operations Officer (recovery receipt posting)

11.3 Pre-Conditions

- Recovery estimate documented
- Maker-checker approvals completed

11.4 Post-Conditions

- Contract status → WRITTEN OFF
- All future installments → WRITTEN OFF status
- Contract read-only post write-off (no further modifications)
- Recovery receipts posted as: Dr Cash/Bank → Cr Bad Debt Recovery (Non-Operating Income)

Accountings:

Loan is written off:

401	Expense	Loss on loan write- off A/c	DEBIT	
102	Asset	Loan portfolio A/c		CREDIT
103	Asset	Profit receivable A/c		CREDIT

Recovery of Written off since it's a non-operating income

101	Asset	Fund source A/c	DEBIT	
204	Income	Income from recoveries		CREDIT

11.5 Flow of Events

1. Collections Officer identifies write-off candidate
2. Maker submits write-off with justification
3. Credit Director (Checker) reviews and approves
4. On approval: GL entries posted as defined above
5. QCB reporting flag set (write-off classification)
6. External recovery agent engagement logged against contract
7. On recovery receipt: Operations Officer posts recovery payment and accordingly accountings are posted as defined above
8. Recovery receipt does NOT reopen the contract; remains WRITTEN OFF with recovery amount noted

11.6 Integrations

- N/A (internal process)

12. Delinquency Management (DPD / SMA / NPA)

12.1 Activity Description

Delinquency management tracks the Days Past Due (DPD) counter for each contract and classifies it per QCB's regulatory framework. DPD is calculated daily by a scheduled EOD batch job and is based on the earliest unpaid installment's due date. A configurable grace period (default 0 days, configurable at product level) delays DPD onset after the due date. This means, if the customer doesn't pay on due date i.e. 2nd of the month from 3rd of the month DPD counter will start and DPD will be changed to 1.

QCB Classification Thresholds:

DPD Range	Asset Classification
0–89	STANDARD
90–179	SUBSTANDARD
180–359	DOUBTFUL
360+	LOSS / NPA

SMA Classifications:

DPD Range	SMA Classification
0–30	SMA0
31–60	SMA1
61–90	SMA 2

91+	NPA
-----	-----

DPD resets to 0 only when all overdue installments are fully cleared. Partial payment does not reset DPD unless all the oldest overdue installments are fully cleared.

At SUBSTANDARD(NPA - SMA) (90+ DPD), Profit accrual stops — the contract enters non-income booking status.

All unpaid accruals will be parked in SUSPENSE account, and income will continue to accrue with suspense booking.

Following will be the accountings posted for booking into NPA, followed by recovery of NPA loan account:

Accrual	Asset	Profit Receivables	DR
	Income	Income From Profit	CR
Accrual Suspense	Income	Income From Profit	DR
	Liability	Profit Suspense Liability - NPA	CR
NPA Accruals	Asset	Profit Receivables	DR
	Liability	Profit Suspense Liability - NPA	CR
Suspense Reversal	Liability	Profit Suspense Liability - NPA	DR
	Income	Income From Profit	CR
Repayment	Asset	Bank Account	Dr
	Asset	To Profit Receivable	CR

12.2 Actors

- System (automated DPD calculation via EOD batch)

12.3 Pre-Conditions

- Contract is in ACTIVE status with at least one unpaid instalment past due date
- EOD batch has run for the current date

12.4 Post-Conditions

- DPD count updated on contract record

- Classification status updated (STANDARD → SUBSTANDARD → DOUBTFUL → NPA)
- Classification change triggers corresponding system actions (see table above)
- Profit Income is suspended on entry to SUBSTANDARD; Profit accruals cease and booking is done in suspense accountings

12.5 Flow of Events

1. EOD batch runs nightly
2. For each active contract: DPD = calendar days since earliest unpaid installment due date (post-grace period)
3. If DPD crosses a classification threshold: classification updated; corresponding actions triggered
4. DOUBTFUL trigger: at 180 to 360 days
5. NPA trigger: when DPD crosses 360 days
6. On full clearance of all arrears: DPD reset to 0; classification restored; income recognition suspended cleared; provisioning reversal posted

12.6 Integrations

- N/A

13. Late Payment Penalty (Ta'widh)

13.1 Activity Description

Under the Diminishing Musharakah construct for Blox, **no late payment fees are charged to the customer** — this is a product decision confirmed by Blox leadership. No penalty amounts appear in customer installments or statements.

14. Profit Accrual & Revenue Recognition

14.1 Activity Description

Profit income is recognised on accrual basis by default. However, on 1st of month, the system posts accrual entries for period where Profit is accrued but not due to correctly reflect earned but uncollected Profit income for the balance sheet. **Key principle:** Equity Buyout (Principal) is **not accrued** — it reduces the co-ownership asset only on actual cash receipt. Only the Profit component is subject to accrual accounting.

On system will post following accruals entries as of 1st of month EOD:

Profit Accrual	103	Asset	Profit receivable A/c	DEBIT	
	201	Income	Income from Profit		CREDIT

At **SUBSTANDARD (90+ DPD)**: Any accruals already posted for the contract are reversed, to suspense accountings. Profit Accruals resume only when the account is brought current.

14.2 Actors

- System (automated month-end accrual batch)
- Finance Manager (accrual review and NPA suspension override if needed)

14.3 Pre-Conditions

- Contract is **ACTIVE** or in **DPD 0–89** range (accruals run)
- On **90 DPD** – Accruals are posted in suspense accountings.

14.4 Post-Conditions

- Month-end: accrual GL entries posted for all active contracts with unpaid Profit
- On payment: accrual reversal and income recognition posted atomically
- On **SUBSTANDARD**: all existing accruals reversed; accrual flag set to suspended, however, suspense Profit accruals will continue to accrue
- On cure (account brought current): accrual resumes from next batch run
- Profit income P&L reconciles to actual cash collections plus net accrual movements

14.5 Flow of Events

1. Due day batch identifies contracts with unpaid installments
2. On payment receipt: system reverses the accrual for **DPD** cases and recognises income in a single atomic transaction
3. EOD batch checks for contracts crossing **90+ DPD**: sets accrual suspended flag; reverses existing accruals
4. On **DPD** cure: accrual suspended flag cleared; accruals resume at next batch

Following GL will be posted on 1st of every month at 2nd BOD. This will constitute the Profit amount of 2nd of last month to 1st of current month.

Profit Accrual	103	Asset	Profit receivable A/c	DEBIT	
	201	Income	Income from Profit		CREDIT

14.6 Integrations

- N/A

15. Charges & Fees

15.1 Activity Description

The following fee types apply to DIMINISHING MUSHARAKAH financing contracts on the Blox platform:

Fee Type	Amount	When	Collected Via	LMS Role
Processing Fee	Flat Amount in LMS	At activation (one-time)	LOS journey	LMS records as informational line item on the contract; does NOT factor into installment calculation
Admin Fee	Flat Amount in LMS	At disbursement (upfront, standalone)	Card / cash at Blox (outside M2P)	LMS records as informational line item only
Bureau Fee	Flat Amount in LMS	At disbursement (upfront, standalone)	Card / cash at Blox (outside M2P)	LMS records as informational line item only
Foreclosure / Early Exit Fee	QAR 0	N/A	N/A	Not charged; Sharia-mandated
Part Payment Fee	QAR 0	N/A	N/A	No charge on part payments
Physical Statement	QAR 100	On - Demand	Card / cash at Blox	This will be added ad hoc by user
Liability Letter	QAR 100	On - Demand	Card / cash at Blox	This will be added ad hoc by user

There are no recurring fees and its accountings are not (e.g., membership fee) managed within the LMS.

The Blox Membership Fee is orchestrated entirely on the Blox platform and is out of LMS scope.

15.2 Actors

- LOS (processing fee/ admin fee and bureau fees to be passed at the time of Activation of loan)
- LMS for processing Liability Fee and issuance of Physical Statement

15.3 Pre-Conditions

- LMS configured to record admin/bureau fees as data fields (no amortisation or impact on installments)
- LOS will apply and pay charge in LMS

15.4 Post-Conditions

- Processing fee recorded on contract as a separate informational field
- Admin and bureau fees recorded as informational data
- No late payment fee charged
- Fee breakdown visible in contract details and customer statement
- All specified pre-disbursement fees is deemed to be paid outside LMS and following accountings will be posted in LMS

101	Asset	Fund source A/c	DEBIT	
105	Asset	Fee Receivable A/C		CREDIT

15.5 Flow of Events

1. LOS passes processing fee amount in the activation payload; LMS records it
2. No additional charge lines are created in the LMS schedule for any fee
3. Fee data available in reporting and customer statement generation

15.6 Integrations

- LOS: processing fee field in activation payload (inbound)

16. Lender Management

16.1 Activity Description

Blox holds a full QCB banking licence and raises capital from multiple lenders/financiers. Every financing contract can be tagged with the lender details that funded it. The LMS maintains lender records. There is no automated API integration between the LMS and lender systems; all lender settlement is performed manually by Blox.

Each lender can define different customer cohort eligibility rules (configured in the LOS BRE — not in LMS). The LMS receives the lender id at activation and uses it solely for tagging in system.

Fields used to capture Lender details which are non-mandatory,

- Lender Name
- Lent Amount

- Notes

In case user needs to add multiple lender, provision will be given in LMS similar to Takaful.

16.2 Actors

- LOS (At the time of activation, LOS will push the details in LMS)

16.3 Pre-Conditions

- Lender master records configured in the LOS system

16.4 Post-Conditions

- Each contract tagged with lender details from activation in LMS

16.5 Flow of Events

1. LOS passes lender details in activation payload; LMS validates the field lengths and stores only for information

16.6 Integrations

- M2P - LOS

17. Payment Channels

17.1 Activity Description

M2P FinFlux LMS supports the following payment channels for Diminishing Musharakah contract repayments:

Customer-Initiated (One-Time):

- **Skip Cash (Apple Pay, Credit Card, Debit Card, Blox credits):** For customer-initiated payments — down payments, part payments, early settlement. The Blox frontend integrates with Skip Cash, on successful transaction it confirms to M2P LMS via API.

Credit card is permitted for customer-initiated repayments; credit card charges are borne by the customer and handled at the Blox→ SkipCash layer (not visible in LMS).

LMS receives a single payment confirmation call with amount and mode of payment.

Offline Channels (Data Capture Only):

- **Cheque:** LMS provides data capture fields (cheque number, date, amount). Cheque clearance is entirely outside LMS scope. An operations officer manually confirms clearance to capture details in LMS.

- **Cash:** LMS provides data capture fields (amount received, date). Actual cash handling is outside LMS scope. Operations officer manually confirms receipt.

No wallet, no multi-currency. All transactions in QAR only.

In case, excess is available while making the part payment, it will auto settle the excess balance money against customer's dues.

17.2 Actors

- Skip cash Gateway integrated with Blox front end (customer-initiated payment routing)
- Operations Officer (manual confirmation for cheque and cash)

17.3 Pre-Conditions

- SkipCash integration configured (idempotency via gateway reference id) in frontend of Blox.
- Cheque and cash capture screens configured in LMS back-office

17.4 Post-Conditions

- Skip cash: payment confirmation is received by LMS where instalment successfully paid
- Cheque: data captured; pending operations confirmation; marked PAID only on manual confirmation
- Cash: data captured; pending operations confirmation; marked PAID only on manual confirmation
- All payments processed via Blox gateway reference id

17.5 Flow of Events (Cheque — Offline)

1. Customer presents cheque to Blox branch / operations
2. Physical cheque submitted for clearance through normal bank channels
3. On clearance confirmation: Operations Officer records cheque details in LMS data capture screen
4. If cheque bounces: DPD clock continues

17.6 Integrations

- Skip Cash / Payment Gateway- by BLOX front end
- LMS APIs are exposed to push the repayments

18. Notifications

18.1 Activity Description

The M2P FinFlux LMS triggers event-based notifications to the Blox platform, which then routes them to the customer via Blox's notification vendor (Sala). LMS does NOT directly integrate with SMS or email vendors. All customer notifications are sent in bilingual format (Arabic + English). The LMS back-office UI is English only.

Notification Channels:

- WhatsApp (primary — all servicing notifications)
- SMS (critical alerts: OTP, overdue reminders; always sent for overdue regardless of other channels)
- Email (approvals, payment records, formal documentation)

Standard Notification Events and its Arabic conversion:

Disbursement - LOS	Dealer Payment Confirmation	
Language	English	Arabic
Channel	WhatsApp	
	Hi {{FirstName}}, your vehicle has been paid to the dealer.	مرحبًا {{FirstName}} ، تم دفع قيمة مركبتك إلى الوكيل. لقد بدأت الآن رحلتك في التملك. تتبع تقدمك في التطبيق.
	Your ownership journey has now started. Track your progress in the app.	
LMS	Payment Reminder on Month end	
Channels:	WhatsApp + SMS	
WhatsApp:	Hi {{FirstName}}, your payment of QAR {{Amount}} is due on {{DueDate}}.	مرحبًا {{FirstName}} ، دفعتك بقيمة {{Amount}} ريال قطري مستحقة بتاريخ {{DueDate}}. يرجى التأكد من توفر رصيد كافٍ.
	Please ensure sufficient balance.	
SMS:	BLOX Reminder: QAR {{Amount}} due on {{DueDate}}.	إشعار BLOX: مبلغ {{Amount}} ريال قطري مستحق بتاريخ {{DueDate}}.
LMS	Payment Successful	
Channel:	WhatsApp	
	Hi {{FirstName}}, we received your payment of QAR {{Amount}}.	مرحبًا {{FirstName}} ، تلقينا دفعتك بقيمة {{Amount}} ريال قطري. تم تحديث حصتك في الملكية.
	Your ownership share has been updated.	

LMS	Payment Failed	
Channels:	WhatsApp	
	Hi {{FirstName}}, your payment of QAR {{Amount}} could not be processed.	مرحبًا {{FirstName}}، تعذر معالجة دفعتك بقيمة {{Amount}} ريال قطري. يرجى إعادة المحاولة أو تحديث وسيلة الدفع الخاصة بك.
	Please retry or update your payment method.	
LMS	Prepayment Confirmation	
Channel:	WhatsApp	
	Hi {{FirstName}}, your additional payment of QAR {{Amount}} has been applied.	مرحبًا {{FirstName}}، تم تطبيق دفعتك الإضافية بقيمة {{Amount}} ريال قطري. تم تحديث جدولك.
	Your schedule has been updated.	
LMS	Deferral Approved	
Channel:	WhatsApp	

18.2 Actors

- System (automated event triggers)
- Blox Platform (notification routing and delivery via Sala)

18.3 Pre-Conditions

- Notification templates configured (bilingual: Arabic + English per BLOX Notification Templates.docx)
- Blox platform notification webhook endpoint configured in LMS
- Customer language preference stored on client record in BLOX

18.4 Post-Conditions

- LMS triggers notification event to Blox platform which will act as middle ware to push notifications to end client
- Delivery status (SENT / DELIVERED / FAILED) received from Blox to Sala

18.5 Flow of Events

1. LMS system event occurs (payment, DPD, settlement, etc.)
2. LMS generates notification event payload and calls Blox platform webhook
3. Blox platform routes to appropriate channel and chosen language (WhatsApp / SMS / Email) via Sala
4. Delivery confirmation received by LMS; stored in notification audit log

18.6 Integrations

- Blox Platform: notification event webhook (outbound)

19. Maker-Checker & Access Control

19.1 Activity Description

All financial mutations in the LMS follow a **Maker-Checker (4-eye) approval pattern**. The Maker submits a transaction; the Checker (a different user) reviews and approves or rejects. No user may approve their own submission.

Key Maker-Checker Controls:

Transaction	Maker Role	Checker Role
Repayment Reversal	Operations Officer	Finance Manager
Refund	Operations Officer	Finance Manager
Early Settlement Quote + Confirmation	Operations Officer	CREDIT MANAGER

Ibra' (Profit Waiver)	Operations Officer	CREDIT MANAGER
Write-Off	Collections Officer	Credit Director

Role Based Access Control Roles:

Role	Key Permissions
OPERATIONS OFFICER	View contracts; submit repayments; initiate activation / settlement / reschedule
CREDIT MANAGER	Approve activations; approve standard rescheduling
FINANCE MANAGER	Approve reversals; initiate Takaful claims; view GL reports
COLLECTIONS OFFICER	Manage DPD workflows; submit write-off and restructuring
CREDIT DIRECTOR	Approve write-offs
SYSTEM ADMIN	Product configurations and other set-up; system-level config

19.2 Actors

Refer to role table above.

19.3 Pre-Conditions

- Users are created with appropriate roles in LMS
- Maker and Checker are different users (system-enforced)

19.4 Post-Conditions

- No financial transaction effective without checker approval
- Full audit trail for every maker submission and checker action (user ID, timestamp, action, justification)

19.5 Integrations

- N/A (internal access control)

20. Blox Business models

The above-mentioned events are standard LMS features supported for blox, however, Blox may utilize the same basis on different models defined below. All the mentioned features will be applicable and available for all models onboarded, unless otherwise specified.

20.1 B2C model

20.1.1 Overview

In B2C model, Blox is directly funding the customer post getting QCB licence under Diminishing Musharakah Co-ownership structure.

20.1.2 Actors

- Customer: applies via the Blox app or web portal
- LOS: handles onboarding, KYC, BRE, credit decisioning, and offer generation
- LMS: manages the post-disbursement contract, repayment schedule, co-ownership register, and GL

20.1.3 Pre-conditions

- Blox holds a valid QCB lending licence
- M2P LOS, LMS, and Collect are configured with Blox as the sole lender
- Diminishing Musharakah product is active in LMS (new, used car and motor vehicle variants)

20.1.4 Post-conditions

- Contract is created in LMS tagged to Blox as lender
- Co-ownership register reflects Blox and customer ownership shares from day one
- Repayment schedule is active; co-ownership updates after each equity payment
- On full repayment, contract closes and title transfers to the customer

20.1.5 Process flow

- Customer applies for vehicle financing at Blox App/ web portal
- Information is pushed to LOS for capturing complete customer information and underwriting
- Contract is created in LMS post disbursement of loan
- Loan servicing is undertaken in LMS by Blox users.

20.2 B2B2C model — NBFC as lender

20.2.1 Overview

An NBFC (such as Al-Jazeera Finance) holds the lending license and funds the vehicle. Blox acts as the servicer of loan and managing the contract on the NBFC's behalf. Entire stack is operated by Blox, with each contract tagged to the relevant NBFC as lender.

20.2.2 Actors

- Customer: applies via the Blox platform (identical experience to B2C)
- LOS: runs origination, KYC, BRE, and routes the credit package to the NBFC for approval
- NBFC: reviews and approves credit, funds the dealer, and owns the loan on its balance sheet
- LMS: services the contract on behalf of the NBFC; manages repayment schedule and co-ownership register
 - LMS Operator – Blox
 - LMS Operator 2 - NBFC
- Dealer: receives the LPO and is funded directly by the NBFC

20.2.3 Pre-conditions

- NBFC partnership agreement is in place between Blox and the NBFC, this is handled outside LMS
- NBFC lender information is pushed in LMS
- Blox shall continue to service the loan, similar to B2C, however final settlement of any fee or profit sharing between Blox and NBFC need to be handled offline LMS.

20.2.4 Post-conditions

- Financing contract is created in LMS tagged to the NBFC as lender
- Repayments collected by Blox as servicer and Blox shall notify NBFC on any material events.
- On contract closure, title transfers is handled outside LMS for NBFC-Customer legal agreement

20.2.5 Process flow

- Customer applies for vehicle financing at Blox App/ web portal
- Information is pushed to LOS for capturing complete customer information and underwriting
- Contract is created in LMS post disbursement of loan
- Loan servicing is undertaken in LMS by Blox users

Out of scope:

- Any contract rendered between NBFC, and Blox need to be handled outside LMS
- Blox shall continue to recover money on behalf of all lenders as servicer, however, final monetary, communication or any contractual settlement between NBFC and blox will be catered outside LMS.

20.3 B2B2C White-Label (3rd party-Operated) model

20.3.1 Overview

In the white-label model, Blox provides its platform (LMS) to a third party(ex. NBFC), where 3rd party's staff operates the platform directly, while Blox remains the lender and will continue to have access full information on the platform.

Since the platform is exposed to multiple third parties, each party should be able to access its own data, own products only and admin rights will only be accessible to Blox team/ its users.

Every customer info from each party are isolated from every other party. Within a single entity, access is governed by a branch-based role hierarchy so that a branch sees only its own data while the blox's head office or super admin sees all branches.

20.3.2 Actors

- Customer: walks into a QAuto branch or applies via the dealer-branded portal; onboarded under assistance of dealer staff
- Post LOS journey, loan is created in LMS, w.r.t program.

20.3.3 User access management (RBAC)

- Data created under one 3rd party -1 is never visible to another 3rd Party -2. Within a 3rd Party - 1, most roles are branch-scoped
- Each user belongs to exactly one 3rd Party and one home branch
- The Super Admin is managed by blox for users, roles creation.
- All actions are audit-logged with user, 3rd party, branch, and timestamp.
- Blox and its team will have access to all branches.

20.3.4 Pre-conditions

- Branch hierarchy (branches, and any regions) is configured for the third party
- 3rd party user and its branches, roles, and access is created by Blox;
- Role-based access policies are configured

20.3.5 Post-conditions

- Data visibility is enforced: branch users see only their branch, while Blox sees all branches
- The contract is created in LMS tagged to the lender (Blox or NBFC)
- A full audit trail records which branch and user onboarded and actioned each customer

20.3.6 Process flow

- Customer applies for vehicle financing at through 3rd party
- Contract is created in LMS post disbursement of loan
- Loan servicing is undertaken by 3rd party with its own set of programs/products, users, customer base and provisioned branch access.